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Presidentialization, Pluralization, and the Rollback of Itamaraty: Explaining Change in Brazilian Foreign Policy Making in the Cardoso-Lula Era

JEFFREY W. CASON AND TIMOTHY J. POWER

ABSTRACT. Since the 1990s Brazilian foreign policy has become increasingly central to Latin American integration, to South–South relations, and to global governance, especially under the leadership of presidents Fernando Henrique Cardoso (1995–2002) and Luiz Inácio Lula da Silva (2003 to the present). This article argues that the making of Brazilian foreign policy since the mid-1990s has been marked by two major trends: pluralization of actors and the rise of presidentially led diplomacy. These two trends have promoted a gradual erosion of the influence of the highly professionalized and traditionally autonomous Foreign Ministry (Itamaraty). The article analyzes the role of global, regional, and domestic political factors in promoting this transformation, and examines the consequences for Brazil's foreign policy outputs.

Keywords: • Brazil • international relations • trade • Lula • Cardoso
• political institutions

I feel that foreign policy making is ceasing to be a monopoly of a small group of people, a group of which I have been a part.

(Brazilian Foreign Minister Celso Amorim, February 11 2007)¹

The field of international relations in Brazil has expanded rapidly in recent years, as many Brazilian students and scholars have become more interested in the outside world. This expansion of interest has coincided with a greater importance of global affairs in domestic politics following Brazil's transition to democracy. The increase in interest in international relations has not necessarily translated into the analysis of how foreign policy is made in Brazil; rather, much of the extant scholarship focuses on Brazil's place in the international system and the strategies it has used or might use to change its place.²

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This article attempts to correct that imbalance. Rather than privilege the strategic dimensions of Brazilian policy, we focus on the *determinants* of Brazilian foreign policy, specifically by analyzing the visible and activist administrations of Fernando Henrique Cardoso (1995–2002) and Luiz Inácio Lula da Silva (2003 to the present). We demonstrate that these administrations both built upon prior traditions in Brazilian foreign policy and produced innovative responses to Brazil's changing place in the international system. We argue that over the course of the last two decades the traditional dominance of the Ministry of Foreign Relations (MRE or Itamaraty)³ in foreign policy making has declined. This was due both to an increase in the number of actors who are influencing or attempting to influence foreign policy making (partly as a consequence of democratization) and to an increase in presidential diplomacy. This does not mean that Itamaraty has become impotent, but it does mean that Itamaraty has had to accommodate these new dynamics and has seen its *relative* influence wane.

To make this general argument, the article proceeds in five sections. We first discuss our overall theoretical approach, which is situated within a long tradition of foreign policy analysis (but which is not usually applied to the Brazilian case). The second section examines how Brazilian foreign policy making has changed in the last two decades, with a focus on two trends: the participation of a larger number of actors in the policy-making process and an emphasis on presidentially led diplomacy during the Cardoso and Lula administrations. The third section is explanatory, focusing on factors at the international and domestic levels, operating on the assumption that it is only by adopting a multi-causal framework that we can understand the changes. In the fourth section, we move from foreign policy inputs to outputs, briefly considering several cases to illustrate our general arguments. These cases reverse the analytical lens, posing policy making as an independent rather than a dependent variable, in order to investigate whether presidentialization and pluralization are beginning to affect the broad contours of Brazilian foreign policy. The final section draws together our main conclusions.

Explaining Foreign Policy Choice

How has Brazilian foreign policy making changed, and why has it changed? In asking these questions, we depart from much of the work on Brazilian foreign policy, which tends to focus on the strategic goals of Brazilian policy or Brazil's insertion in the global order (Campos de Mello, 2002; Hirst, 2005; Hurrell, 2005). These dimensions are of course crucial, but our focus here is on how foreign policy is made in Brazil.

The classic formulation provided by Waltz (1959) claims that the sources of foreign policy making can be located at the international level (systemic changes), national level (domestic interest groups or state organizations), or the individual level (particular leaders or policymakers). Our work departs from a perspective of multiple causality: we claim that all three levels of analysis can help us understand how Brazilian foreign policy making has changed, and that none of the levels really overrides the others. Our approach underscores the recent judgment of Valerie Hudson (2005: 5) that “parsimony for its own sake is not revered” in the field of foreign policy analysis. This is not to say that we are advocating complexity for its own sake, but we do argue that to understand how the making of policy has changed (and stayed the same) we need to consider multiple levels simultaneously.

Our analysis of the Brazilian case illustrates the ways in which different levels of analysis rise and fall in importance over time, all the while remaining interconnected. For example, the international level provides significant conditioning elements: the end of the Cold War forced policymakers to review Brazil's place in the world. On the national level, democratization played an important role in increasing the number of voices that clamored for influence over the policy-making process. Democratization also afforded some actors (both within and outside the state) the opportunity to mobilize public opinion and organize lobbying efforts to push policy in their preferred direction. Finally, at the level of leadership, two of Brazil's recent chief executives – Fernando Henrique Cardoso and Luiz Inácio Lula da Silva – have significantly increased the role of the presidency in foreign policy making.

Overall, the analysis presented here draws on a long tradition of comparative foreign policy scholarship that attempts to understand how policy making varies, depending on national and international contexts. In this particular case the focus is on Brazil, but we share the concerns of scholars who try to systematize our understanding of foreign policy making (Kegley, 1987; Neack, 2003). The center of attention here is on domestic politics and political leadership, recurrent subjects in the comparative foreign policy literature.⁴ In the sections that follow, we flesh out how Brazilian foreign policy making has been transformed because of changes at the national and individual levels of analysis, and how these changes were conditioned by an international and regional context.

Presidentialization and Pluralization under Cardoso and Lula

Foreign policy making in the Cardoso-Lula era has been marked by two principal trends, the *pluralization of actors* and the *advent of presidentially led diplomacy*. The former trend is more secular and was already under way well prior to the Cardoso administration, whereas the latter trend is linked overwhelmingly to the two most recent presidents. Although they are not perfectly coterminous, it is clear that these two trends (1) constitute a major break with historical patterns of Brazilian foreign policy making, and (2) have accelerated considerably in the post-1995 period.

Taken together, the two trends pose an analytical puzzle, since on the surface they are mutually contradictory. How can there be both pluralization and personalization at the same time? Part of the answer to this puzzle lies in the status quo ante, the historical autonomy of the Ministry of Foreign Relations. The two trends become comprehensible (even complementary) when viewed as divergent responses to the traditional bureaucratic insulation of Itamaraty. However, citing tradition is unsatisfactory, because we cannot explain change with a constant. The simple fact of Itamaraty's historical monopoly over foreign and trade policy (a political "given" in Brazil for more than a century) can explain neither the *direct causal* factors nor the *timing* of these important changes over the last decade. The triggers of change are analyzed in a subsequent section of the article. For now, we restrict ourselves to some brief and necessarily selective documentation of the two new trends, pluralization and personalization.

Pluralization of actors. Scholars are virtually unanimous in their assessment of Itamaraty's unique historical role.⁵ Three characteristics of the MRE are usually cited. First, the ministry is admired both inside and outside Brazil for the high level of professionalization of its diplomats. Second, although embedded within a fragmented and penetrable state apparatus (Weyland, 1996), Itamaraty has

maintained an impressive degree of bureaucratic autonomy and isolation. It benefits from the formal and informal boundaries separating it from other ministries and agencies, and possesses a distinct organizational culture. Third, until recently its policy responsibilities were monopolistic. Although there were minor variations across time, it is fair to say that in postwar Brazil Itamaraty had virtually complete control over the design and execution of foreign policy, including trade policy.

Although this situation clearly began to change in recent years, much of the conventional image of Itamaraty remains intact. In 2001, as the Cardoso government was coming to a close, Amaury de Souza surveyed 149 members of Brazil’s “foreign policy community.” These included officials from the executive branch (the presidency, the key ministries, the diplomatic corps, the armed forces, and the Central Bank), the National Congress (deputies and senators involved in foreign relations and defense policy), business leaders, representatives of trade unions and NGOs, journalists, and many key academic specialists in international relations. When queried about how much attention the MRE gives to various actors from political and civil society, the foreign policy community essentially endorsed the idea of an autonomous Itamaraty (Table 1).

Souza’s open-ended interviews were even more revealing. One respondent complained that “Brazil has a very large bureaucracy and there is little or no democratic oversight ... There is no negotiated agenda with society.” Another noted that: “When it comes time to negotiate, the business community is not invited to participate. But later, we are the ones who have to live with what has been negotiated.” Another respondent went further: “Itamaraty does not know Brazil. We need to break down these walled-off niches in foreign policy making. The bureaucratic isolation of Itamaraty, which once allowed it to maintain its quality, is today an obstacle” (Souza, 2001: 87–90). The implications of this valuable elite survey are twofold. First, independently of whether the model of ironclad MRE autonomy is overstated, Brazilian elites tend to subscribe to it. Second, any pluralization of the foreign policy-making process since the mid-1990s has to be understood in *relative* rather than absolute terms. Pluralization departs from a unique baseline: the quasi-monopolistic reputation of Itamaraty.

TABLE 1. *Elite Perceptions of MRE Insulation, 2001*

Q. How much attention do you think Itamaraty gives to the opinions and proposals of the following actors with regard to foreign policy and foreign trade?

Interest groups	A lot of attention	Little or no attention	DK/NA
Other government ministries	57	36	7
Business associations	49	45	6
Media outlets	46	50	4
Congress	30	62	8
Public opinion	28	67	5
NGOs	18	76	6
Universities and research centers	14	81	5
Labor unions	6	88	6

N = 149.

Source: Souza (2001: 87).

Nevertheless, even as Souza's study was being conducted, there was evidence that Itamaraty was already surrendering some space to other actors. Some respondents spoke positively of the efforts made by the Cardoso government to include new voices in consultative councils. Others praised Cardoso's decision to strengthen the Câmara de Comércio Exterior (CAMEX), a unit linked not to MRE but to the Ministry of Development, Industry, and Foreign Trade (MDIC), and which some respondents viewed as a proto-USTR (United States Trade Representative). As Carlos Eduardo Lins da Silva notes, these changes in the second half of the 1990s were occurring against the backdrop of a "boom" in international relations awareness in Brazil. Some of the indicators of rising awareness included increased media coverage (including the posting of foreign correspondents to nontraditional cities); improved analysis of Mercosul politics, especially with regard to Argentine macroeconomic policy; and a multiplication of undergraduate and graduate degree programs in international affairs (Lins da Silva, 2002: 302–3). As domestic attention to foreign relations mounted in the 1990s, Itamaraty responded with a series of initiatives designed to improve communication and dialogue with society. These included three new *Seções Nacionais de Coordenação* (coordinating forums) for state–society debate on Mercosul, FTAA, and EU relations, as well as a consultative mechanism with business leaders for WTO issues. Itamaraty also greatly increased its own outreach efforts, creating a human rights department and a media affairs unit within the ministry's General Secretariat.

Even as Itamaraty began to look vertically into society (and vice versa), the ministry was also obliged to share power horizontally with other units of the Brazilian state. The strengthening of CAMEX in the Cardoso period, later reinforced by the Lula government in 2003, is a prime example of the trend toward decentralization of trade policy inputs. The executive board of CAMEX is made up of six ministers (MDIC, MRE, Agriculture, Agrarian Reform, Planning, and the presidential chief of staff), but notably it is MDIC (not MRE) that holds the chair. In the absence of the MDIC minister, meetings are not chaired by MRE but by an outside member (the economics minister), thus reinforcing the fact that trade policy does not automatically devolve to Itamaraty as in the past. In terms of societal participation, the most democratic aspect of CAMEX is its second-highest organ, CONEX (Consultative Council of the Private Sector). CONEX is composed of 20 members drawn directly from the private sector, as per the 2003 presidential decree that restructured CAMEX. A recent survey by Marques (2008) suggests that private sector elites strongly support the separation of trade negotiations from traditional diplomacy, and would prefer that future trade policy be handled by MDIC, not MRE.

Presidential diplomacy. Itamaraty's slow evolution since the mid-1990s has opened the ministry to new inputs from society, including NGOs, public opinion, and especially the private sector. But the most dramatic indicator of "power flowing outward" from Itamaraty has been the increasingly direct role of the presidency in foreign affairs. This is emphatically not a Brazilian tradition. Prior to 1994, Brazilian presidents were highly dependent on the MRE and accorded the ministry great autonomy in policy making.⁶ Most important international negotiations were handled directly by the Minister of Foreign Relations and/or the top officials of MRE and its key embassies around the world. Presidents traveled little, and to the extent that they were involved in diplomacy at all it was in the context of carefully stage-managed summits and state visits where outcomes were generally prenegotiated. This tradition has been thoroughly upended since the mid-1990s, and routinized

presidential diplomacy is a characteristic of just two administrations: Cardoso (1995–2002) and Lula (2003 to the present).

Because Brazilian presidents must hand over power to an interim executive when leaving the national territory, it is relatively easy to reconstruct official travels abroad simply by counting the temporary accessions to power by the vice president and others in the constitutional line of succession.⁷ Figure 1 shows the trend in presidential travel abroad over the past three decades. Ernesto Geisel, the most influential president of the 1964–85 military regime, left Brazil only ten times in his five years in office. The first two democratic presidents, José Sarney and Fernando Collor, travelled abroad around 7 to 8 times annually. However, Fernando Henrique Cardoso left Brazil 92 times in his eight years in office, a far higher rate than any predecessor. At the time, this was lampooned in the media as an absurdly high incidence of foreign travel.⁸ However, in his first term Luiz Inácio Lula da Silva easily surpassed Cardoso, surrendering the presidency more than 60 times in only four years.

The personal engagement patterns of Cardoso and Lula differed in significant ways. Cardoso gave more attention to developed countries, especially the United States and Europe, where he was already well known as an intellectual. One of his main objectives in foreign policy was to move away from the *terceiro-mundista* orientation of previous presidents (Almeida, 2004a; Lins da Silva, 2002), and this was reflected in the attention he gave to bilateral relations with the US and on-going dialogue with international financial institutions.⁹ Lula, on the other hand, has emphasized South–South relations, and used the tool of presidential diplomacy to reach out to previously underemphasized regions such as Asia, Africa, and the Middle East. There is no one-to-one relationship between presidential diplomacy and foreign policy orientation (see Figure 2). The foreign policies of Castello Branco (“automatic alignment” with the US, 1964–7) and Geisel (*terceiro-mundismo*, 1974–9) were both conducted at relatively low levels of direct presidential engagement, whereas the differing priorities of Cardoso and Lula were pursued with high levels of personal intervention.

According to a recent journalistic account, between January 2003 and December 2005 Lula visited no fewer than 48 countries, spending 159 days abroad (approximately 14 percent of his time in his first three years as president). During this period, Lula visited 18 countries in Africa, cementing his reputation as a champion of developing countries, but also kept one foot in the First World; he was the only chief of state invited to address both the World Economic Forum in Davos and the World Social Forum in Porto Alegre (Scolese and Nossa, 2006: 74–7). Tirelessly crisscrossing the equator in his gleaming new Airbus A-319 (nicknamed *AeroLula* by the press), Lula met five times each with presidents George W. Bush and Nestor Kirchner, and visited Switzerland and Venezuela four times each.

Travel abroad by Lula and Cardoso actually underestimates their degree of contact with foreign officials, since they also began to hold an unprecedented number of state visits and international summits on Brazilian territory. Part of this, of course, is simply a reflection of regional trends, e.g. integration initiatives such as Mercosul and South American and Ibero-American summitry, which have shifted the physical loci of diplomacy southward (Burgess, 2006; Malamud, 2005). A painstaking study by Paulo Roberto de Almeida (2006b) of all of Lula’s foreign travels, meetings with high-ranking foreign officials, and participation in multilateral activities showed a total of 263 direct presidential participations in diplomacy between January 2003

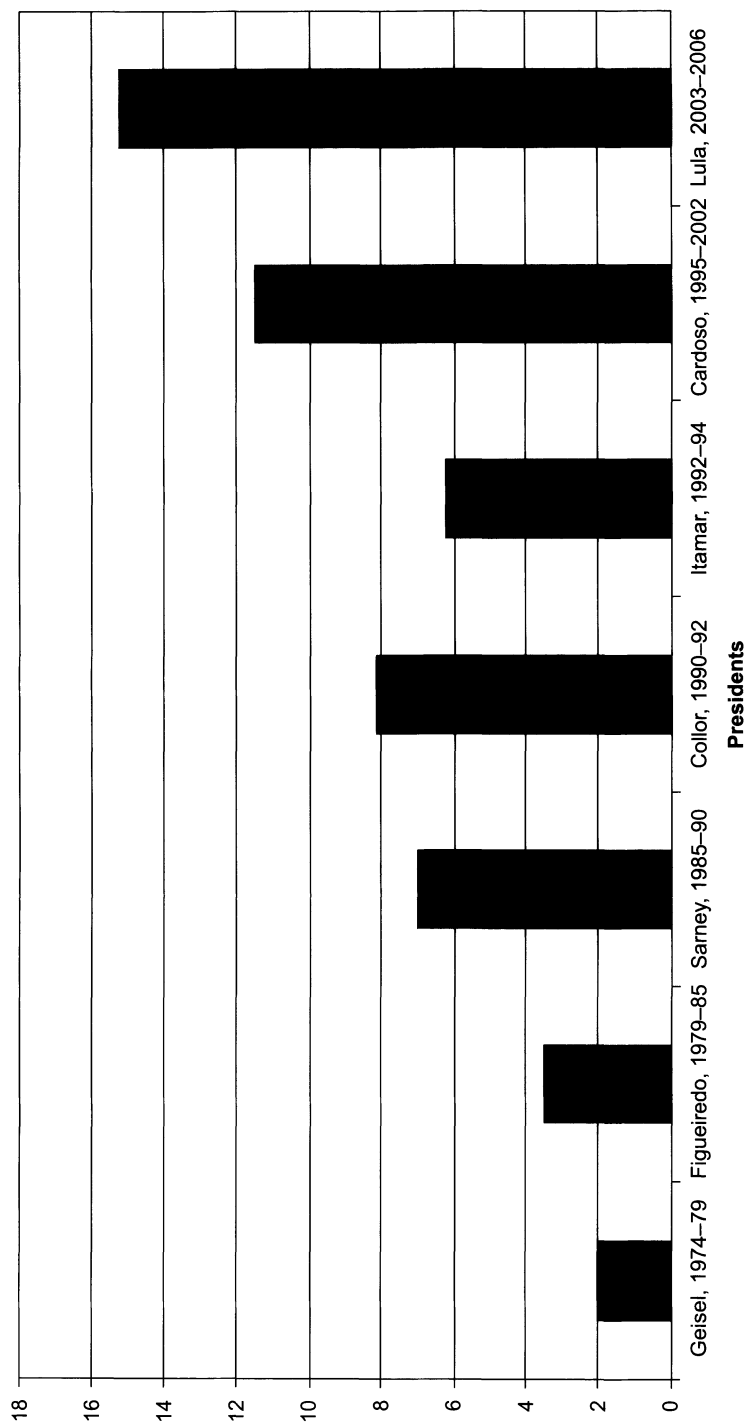


FIGURE 1. *Absences from Brazil by Presidents, 1974-2006*

Notes: Two of Figueiredo's absences were for medical treatment in the US. Data for Lula are updated to the end of his first term in office on December 31 2006. Source: Compiled by authors from www.presidencia.gov.br/info_historicas/galeria_pres.

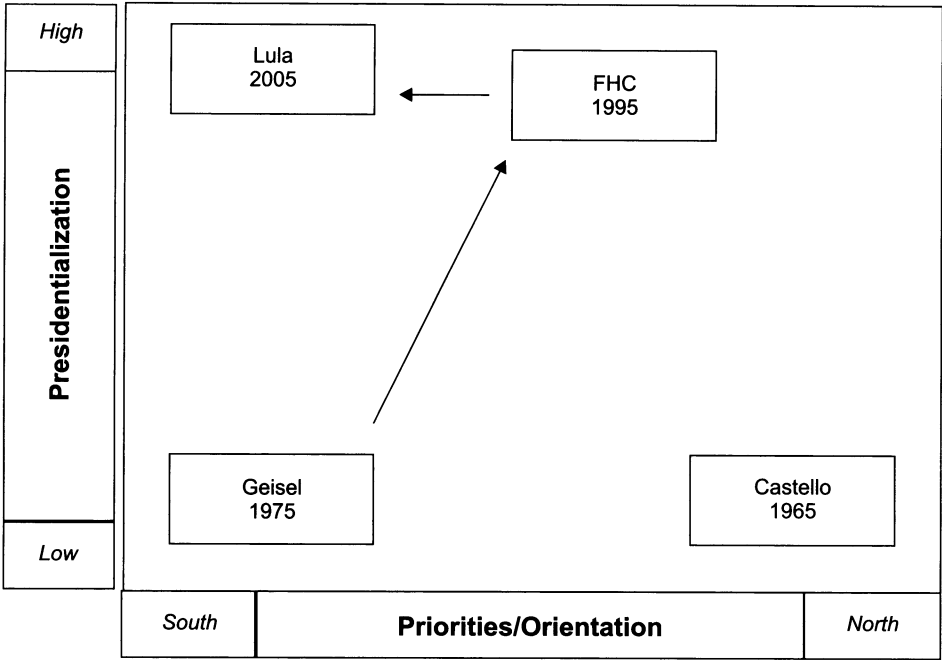


FIGURE 2. *Presidentialization and Prioritization in Brazilian Foreign Policy, 1965–2005*

and September 2006. No fewer than 90 of these events saw Lula receiving sitting heads of state or government in Brasília or in other cities around Brazil.

These trends are important. However, presidential diplomacy has to mean more than quantitative measures of travel and meetings; it should also have a qualitative dimension. It must be clear that the presidential office is being used in ways that actually alter diplomatic outcomes from what they would have been under the traditional model of delegation to Itamaraty. Observers of Brazilian foreign policy have little doubt that presidentialization of outcomes is in fact occurring. Cardoso was often described as his own foreign minister, having run MRE himself between October 1992 and May 1993; Lula clearly uses personal diplomacy to manage bilateral relations with some countries, most importantly the South American neighbors that have left-leaning chief executives like himself. In the next two sections of the article, we discuss the causes and consequences of the presidentialization of diplomacy since the mid-1990s.

Explaining Changes in Foreign Policy Making

Presidentialization and pluralization have been most pronounced from the mid-1990s onward, though it is also the case that some of the phenomena we discuss were foreshadowed by earlier administrations.¹⁰ But since so much change has happened recently, we ask: why does the change date from the mid-1990s and not earlier? Like most complex policy issues, such phenomena can only be explained at multiple levels. Here we address changes both at the international level (including

the regional political economy) and in domestic politics in Brazil to understand both the changes and continuity of Brazilian foreign policy.

International and Regional Factors

The most important change affecting foreign policy making in Brazil – cited so frequently that it has become a cliché – was the end of the Cold War. However, the changing international context had an important impact on Brazil even earlier, especially during the Latin American debt crisis, which preceded the demise of the Soviet Union by almost a decade. During the 1980s there was a noticeable erosion of support for import-substitution industrialization (ISI), the basis of the Brazilian development model for the previous 50 years. The gradual abandonment of this model had immediate effects on Brazilian trade policy. Ronald Reagan and Margaret Thatcher represented a renewed commitment to the market, and financial institutions such as the World Bank and the International Monetary Fund echoed their tune when it came to development policy.¹¹ Changes in the international context of development did not change Brazil overnight – it was one of the last countries in Latin America to adopt meaningful free market reforms – but they did have an impact on how Brazil viewed international trade negotiations and foreign policy.¹² During the Uruguay round of trade negotiations (which culminated in the establishment of the World Trade Organization), Brazil played an increasingly assertive role and began to style itself as a leader of the developing world, struggling against the agricultural protectionism of developed countries.

The shift away from ISI was critical. Earlier political leaders such as Getúlio Vargas and Juscelino Kubitschek had been instrumental in seeing this policy implemented.¹³ In the ISI era, however, there was not a great functional need for presidentially led diplomacy; rather, the political need was for the crafting of new domestic political coalitions to make *desenvolvimentismo* possible at home. This is not to say that there was not an international dimension to the management of ISI politics – clearly there was, particularly regarding relationships with transnational corporations. But given the priority placed on domestic politics, Brazilian leaders relied on Itamaraty professionals to manage Brazil's international relationships.

The changing global context altered the nature of policy delegation to Itamaraty. A major consequence of the debt crisis and of the changing global ideological climate in the 1980s was that developing countries needed to engage the outside world much more regularly. They were constantly being pushed to change development orientation from *inward* to *outward*. The implication was that Brazilian presidents now had to calculate their moves on a whole range of policies (e.g. industrial, trade, and macroeconomic) with an eye to international repercussions. President Fernando Collor de Mello (1990–2) was the first to realize this, though his initiatives in this direction were cut short by scandal. Both Presidents Cardoso and Lula saw the need to engage the international community directly when it came to communicating Brazil's changing development strategy, and made repeated efforts to demonstrate Brazil's engagement with the rest of the world. As economic policy making became a more important element of foreign policy, presidential leadership came to the forefront.

One of the main policy arenas where this new presidential leadership played itself out was in regional integration. Brazil had traditionally focused on its own development strategy without much interest in the rest of Latin America. The end

of the Cold War, however, focused the minds of Collor and Argentine president Carlos Menem when it came to the place of South America in the world. They built on the preliminary efforts of their predecessors and ended up with one of the most ambitious economic integration programs ever contemplated among developing countries: Mercosul. Professional diplomats in Itamaraty, trained to search for new strategic options for Brazil, undoubtedly had a role in this breakthrough. But one of the main reasons that Mercosul was elevated strategically was because presidents wanted it to be a centerpiece of their foreign policy agendas. Critically, presidents from Collor to Lula viewed regional integration as a valued goal even when progress was slow in coming.

The Treaty of Asunción that established Mercosul in 1991 was quite detailed about the future integration process, but its signing was initially met by a lack of enthusiasm in Brazil (Tachinardi, 1995). At the time, a move toward a common market in South America was far ahead of the views of business or civil society, and Mercosul was clearly a top-down initiative at the outset (Cason and Burrell, 2002). Moreover, the treaty was clearly one of the first moves toward a much more presidentialist foreign policy, although direct presidential intervention was quickly routinized in Mercosul diplomacy (Malamud, 2005).

The changing international environment also fomented the pluralization of actors in foreign policy making. As global civil society became more active on a wide variety of issues, Brazil was increasingly engaged by outside nongovernmental organizations on these issues.¹⁴ Civil society organizations (CSOs) in Brazil also built linkages to CSOs in other countries, inevitably increasing the “noise” and multilateral pressure on policymakers. Similar patterns have emerged at the regional level. The new South American regional context of the 1990s was coterminous with accelerating democratization in all countries, including Brazil. Although integration was initiated from the top down, it quickly sparked demands for participation by civil society. Policy elites were forced to take account of these new actors (Zylberstajn et al., 1996).

We do not claim here that this has had a direct impact on policy outputs yet, just as respondents to Souza’s (2001) survey do not believe that Itamaraty has successfully accommodated all new voices. But we do argue that these international connections – the globalization of civil society, as it were – have had an impact on the environment in which foreign policy is made. Once asked for their opinion, civil society actors will want to maintain a place at the table when it comes to formulating foreign policy. Under conditions of political democracy, which by the 1990s had become extraordinarily robust in Brazil, such a trend is not easy to reverse.

Domestic Politics

Domestic politics also have a role in explaining the changes wrought by Cardoso and Lula in the making of Brazilian foreign policy. Here we discuss three domestic political variables that we see as causal factors: partisanship and ideology, personality and process factors, and bureaucratic politics.

Unusually for Brazilian presidents, both Cardoso and Lula were architects and builders of political parties, the Partido da Social Democracia Brasileira (PSDB) and the Partido dos Trabalhadores (PT), respectively. These have been the two most influential parties of Brazil’s modern experiment with democracy, having fought the last four presidential elections between them, and both have remarkably well-developed transnational linkages with like-minded parties in

Latin America and Europe. The PT, founded in 1980, began life as an independent socialist party with strong ties to anti-imperialist movements around the world, and within a decade it had become Latin America's most celebrated leftist party. The PSDB, founded in 1988, styled itself after its western European namesakes, with strong preferences for parliamentarism and a market-friendly welfare state. The PT and PSDB collaborated sporadically in the late 1980s and early 1990s. However, cooperation gave way to heated rivalry when the PSDB opted to join the Itamar Franco government in 1992–4, a period in which Cardoso first served as foreign minister, then as finance minister, and finally defeated Lula in the first of two presidential contests fought directly between them.

It is commonly observed that both the PSDB and the PT underwent striking ideological changes when they arrived in national power in 1994 and 2002, respectively (Hunter, 2007; Power, 2002; Samuels, 2004). What is less noted is how the parties managed to preserve the transnational linkages that they had constructed *prior* to their surprising rightward shifts, and how these linkages continued to serve them while in office. Although seen in Brazil as a “neoliberal” allied with the political right, Cardoso maintained strong ties with socialist and social democratic parties in Europe. In the 1990s the rise to prominence of Clinton and Blair, together with the writings of sociologist Anthony Giddens (the intellectual architect of New Labour), led to the creation of the short-lived “Third Way” movement in which Cardoso was the primary voice from the developing world. Cardoso's inclusion in the high-profile Progressive Governance summits both underscored his own emphasis on North–South relations and enhanced his growing reputation as Latin America's senior statesman, further accelerating the presidentialization of foreign policy.

Similarly, Lula drew on years of transnational linkages forged in labor politics and the growing global recognition of the PT. In the 1980s the PT was a strong supporter of Nicaragua and especially of Cuba, where several key PT figures had spent time in exile. In the 1990s the PT developed strong fraternal ties with the Alianza in Argentina and the Frente Amplio in Uruguay, and after 1998 with Venezuelan president Hugo Chávez. The PT also developed strong connections to NGOs, solidarity movements, and leftist parties in the North. Also, the timing of Lula's rise to power coincided with an increase in the number of politically sympathetic interlocutors in Latin America.¹⁵

Lula's orthodox economic policies since 2003 have not prevented him from exploiting two decades' worth of accumulated progressive credentials abroad. Presumably he has done so partly to compensate for diminishing progressive credentials at home. Lula's macroeconomic policies derived partly from an inherited IMF agreement, partly from authentic ideological change within the PT, and partly from the political necessity of power sharing with center-right coalition partners. But foreign policy has been different; it has constituted the main policy domain in which Lula and the PT have had relatively free rein to pursue long-standing ideological goals. As Almeida puts it concisely, “it is in foreign relations and international politics that the Lula government most resembles the discourse of the PT” (Almeida, 2004b: 162).

Because Cardoso and Lula effectively exploited linkages constructed earlier in their careers, the presidentialization of foreign policy was *externally legitimated* during their years in office. The pluralization of actors in foreign policy was facilitated by the social bases of the PSDB and PT, respectively. In the 1990s the PSDB

became the partisan option of “modern,” outward-oriented business interests, particularly in São Paulo state, where the party has controlled the governorship since 1994 (Marques, 2008). Also in the 1990s, the PT evolved into an umbrella party for many segments of progressive civil society in Brazil (social movements, NGOs, race and gender-based pressure groups). While many of these groups were disappointed with the Lula government after 2003 (Hochstetler, 2008), they have largely been satisfied with foreign relations, and have been engaged in policy toward Cuba, Venezuela, and sub-Saharan Africa.

Apart from partisanship and ideology, personality and process factors have also shaped new inputs into foreign policy. The presidentialization of foreign policy was undoubtedly facilitated by Cardoso’s brief stint as foreign minister in 1992–3. Seven months at MRE had a major impact on the future president (Dimenstein and de Souza, 1994; Lins da Silva, 2002). Cardoso began to view Itamaraty as an island of excellence in the federal government, staffed by talented people, and he invited a number of career diplomats into the presidential palace in 1995. Familiarity with the folkways of Itamaraty made it easier for Cardoso to take a strong personal role in diplomacy. As for Lula, his long-established credentials as a spokesman for the Latin American left ballooned into Bono-like “superstar” status after his inauguration in 2003, and there is little doubt that the president has a strong personal preference for foreign travel (Scolese and Nossa, 2006).¹⁶ Moreover, since Lula followed Cardoso in office, he could not have easily reduced presidential visibility in diplomacy without being accused of de-emphasizing foreign relations writ large.

Bureaucratic politics also contribute to understanding pluralization and presidentialization, especially under Lula. The resentment by other government ministries of Itamaraty’s monopolistic role in foreign policy has already been discussed, although the situation began to change with the empowerment of MDIC under Cardoso. Before Lula won the election of 2002, many observers assumed that a PT-led government would reverse the gradual incorporation of business elites into discussions of foreign and trade policy. By the end of his first term in 2006, it was clear that the opposite trend had occurred. Why? Simply put, Lula badly needed legitimation by the private sector in his presidential bid, made clear by his selection of running mate: José Alencar, a multimillionaire senator and owner of one of Brazil’s largest textile firms. This was followed by the appointment of Henrique Meirelles, a former executive at FleetBoston Financial, to the Central Bank. The nomination of Luiz Fernando Furlan to MDIC and Roberto Rodrigues to the Ministry of Agriculture – two cabinet “stars” in Lula’s first term – rounded out a team that was remarkably friendly to what Lula used to call the *burguesia*. Both Furlan and Rodrigues served as direct communication channels to agricultural interests and exporters (although the latter resigned in 2006 over policy differences). They used their influence to see that MDIC and Agriculture had a seat at the policy table in Brasília and to ensure that representatives of the private sector were included on many of Lula’s key trips abroad.

It is of course ironic that a PT-led cabinet had the best connections to the exporting elite of any recent Brazilian government – but we argue that it is precisely *because* a leftist president was elected that bureaucratic power was pluralized. The foreign policy troika of Minister Celso Amorim, MRE secretary general Samuel Pinheiro Guimarães, and long-time presidential advisor Marco Aurélio Garcia coexisted in a government that also featured heavyweights like Meirelles, Furlan, and Rodrigues.

The latter group saw no reason to obstruct the progressive South–South agenda of the former group as long as it coincided with the outward-oriented business interests that they represented. The boom in exports under Lula, combined with the president's aggressive sponsorship of trade missions to Asia, Africa, and the Middle East, made it easier than ever before to unify the two factions. In sum, a unique constellation of factors under Lula led to the blending of a historically *petista* foreign policy strategy with a business-friendly trade policy. Holding it all together was Lula: presidentialization promoting pluralization.

Does It Matter? Changes and Continuity in Brazilian Foreign Policy

The trends outlined above are interesting for observers of Brazilian domestic politics. Do these changing inputs, however, have any impact on the outputs of Brazilian foreign policy? Or are they simply “causes in search of an effect”? We argue here that – although our topic is a moving target and the evidence still incomplete – the changes we outline above *do* appear to have some concrete effects on Brazil's insertion into the global political economy. We briefly treat three cases to illustrate our claims of change (and continuity), with particular focus on the Lula government: global trade negotiations and Brazil's leadership among developing countries, Mercosul and Brazil's assertion of regional leadership, and the recent dust-up over Bolivia's nationalization of its natural gas reserves.

Global Trade Negotiations

As Hirst (2005) and Hurrell (2005) have pointed out, Brazil was a strong supporter of the creation of the World Trade Organization, especially because the WTO allowed for structurally weaker countries in the international political economy to challenge policies of more powerful countries in a relatively neutral, rule-based environment. This was consistent with long-standing Brazilian goals in multilateral trade negotiations, which were to open agricultural markets in the United States and Europe and reduce the number of unilateral trade restrictions imposed by the United States in particular (Rios, 2003).¹⁷

The Brazilian position in global trade negotiations took a turn for the more aggressive when the Lula government came to power in January 2003, and we argue that this occurred because of both increased presidentialization in foreign policy making and the pluralization of actors in the policy-making process. Lula entered office promising a much more “solidarity”-based foreign policy, reflecting long-standing PT positions on how Brazil should relate to the rest of the world, and how there should be more “participation” of civil society in government generally. Meanwhile, with more actors in civil society affected by international trade, given Brazil's increased openness, there are more interested parties when it comes to foreign trade. To this point, however, the effects of presidentialization can be more readily observed.

By way of illustration, it was just one month after Lula took office that Brazil requested the establishment of a WTO dispute-settlement panel to investigate US cotton subsidies.¹⁸ Brazil subsequently won its case in the WTO, which gave it the right to increase duties on a wide array of US imports into Brazil. As it happened, Brazil declined to enact these duties (Ribeiro, 2005). The probable reason is that Brazilian policymakers viewed such retaliation as a counterproductive measure that would unnecessarily increase bilateral tensions. In the meantime, the US Congress

attempted to redesign agricultural policies so as not to contravene WTO rules. This was a delaying tactic, meant to put off a final change in US policy until after some broader agreement had been reached in the wider WTO negotiations that would also oblige Europe to reduce its own farm subsidies.

Brazil also became more assertive on the world stage through its activities to push a “developing country” agenda in multilateral trade talks. This has been pursued via leadership of the G-20, which Brazil founded along with other developing countries in advance of the WTO ministerial meetings in September 2003 (Narlikar and Tussie, 2004). This coalition within the WTO has attempted to advance what it sees as the common interests of the global South, particularly since the most common complaint among poorer countries regarding the GATT was that it excluded virtually all issues of importance to them. Lula, at a speech to G-20 ministers in December 2003 in Brasília, laid out Brazil’s vision for the G-20 as follows:

Endowed with legitimacy and representativeness, the G-20 is changing the dynamics of multilateral trade diplomacy. In view of the firmness of the actions of its members and its collective vision, the G-20 helps to prevent the parameters of the agriculture debate in the WTO from being imposed by the protectionist interests of a few members. ...

The G-20 positions aim at putting an end to the current distortions of agricultural trade and, as a consequence, will bring better living conditions to billions of farmers in the world. We fight for the elimination of all forms of export subsidies, as well as substantial cuts to trade-distorting domestic support. ...

We feel proud and satisfied by G-20 engagement in the Doha Round negotiations. For sure, this is the sentiment prevailing in my country. We are confident that our articulation will inspire similar actions not limited to defending our common interests in international fora, but also regarding our reciprocal exchanges with a view to intensifying South–South trade. ...

I believe, however, that we can be more daring and consider the launching of a free trade area between G-20 members, also open to other developing countries. As a matter of fact, many of our countries are already engaged individually or collectively in similar processes in South America, Africa and Asia. (da Silva, 2003)

It is safe to say that much of this is rhetoric that will never be realized, but the ambitions behind it are revealing. Lula has positioned himself as a global champion of the world’s poor, and has been able to raise his profile significantly.¹⁹ And while it is the case that Lula has not been “assertive” along the lines of a Hugo Chávez, this stylistic difference does not mean he is less effective than someone like Chávez, who is frequently seen as a demagogue and viewed warily by many. Lula, unlike Chávez, makes most of his government’s positions known through existing international and regional institutions, and is not seen as someone who is trying to delegitimize the international system.

This position-taking on trade and globalization is noteworthy: international relations is the only policy area where Lula has been able to maintain fidelity to the PT’s historic worldview (Almeida, 2003, 2004b, 2006a). The PT has clearly abandoned earlier policy demands (e.g. a moratorium on the repayment of Brazil’s foreign debt, or a break with the IMF) that would have isolated it from centers of

international financial capital, but Lula's stewardship of the G-20 shows that he has attempted to compensate for this in other ways. In this sense, the Lula government resembles PRI-dominated Mexico: while the PRI carried out relatively orthodox and pro-business policies on the domestic level, it made a special effort to show its progressive credentials in foreign policy. The PRI did this in a variety of ways, most particularly by maintaining normal relations with Cuba at a time when the United States was doing all it could to isolate the Castro regime (Hey and Kuzma, 1993). The international context is different now, as the Cold War struggle has largely been replaced by debates over globalization. As his earlier participation in the World Social Forum shows, Lula has found it politically beneficial to side with those who have "lost out" because of globalization. As president, Lula has been encouraged to pursue this direction by MRE secretary general Guimarães, among others (see Guimarães, 2002). Overall, in the case of Lula, there is a clear interaction between domestic-level politics – the PT's need for something progressive to hang on to – and a regional context where Brazil vies with a Chávez-led Venezuela for regional leadership. The outcome here is a more assertive foreign policy.

Mercosul and Regional Integration

Mercosul provides one of the first domains of intensely presidentialist diplomacy in the post-authoritarian period. Mercosul was summit-driven from the very beginning – even before it was known as Mercosul – as President José Sarney and his Argentine colleague Raúl Alfonsín took the first measures to bring the traditional South American rivals together (Manzetti, 1990). Presidentialism was even more important when the actual Treaty of Asunción was signed in March 1991. Both Collor de Mello and Menem signed the agreement with an accelerated timetable, which was meant to force their economies to adjust in a very short period of time, and (crucially) to do so before either of their presidential terms had ended. The goal of the Treaty itself was to lock in place the free-market reforms that each president was pushing, and to make sure that their integration project had a legacy beyond their own presidencies.²⁰ The Treaty itself laid out a schedule of tariff reductions, which were adhered to, with occasional backsliding. In addition, its early years coincided with the first major burst of region-wide growth after Latin America's "lost decade" of the 1980s. The Treaty quickly garnered political support in Brazil, since the pie, overall, was growing.

The Mercosul project was also something that Itamaraty was interested in, but it is only because of presidential summitry that Mercosul had a chance to get off the ground. That said, the project itself entered into a slow-motion crisis beginning with the Brazilian devaluation of the *real* in early 1999, and it has yet to fully recover from this crisis. Figure 3 charts the arc of Mercosul's heyday and crisis, and makes clear both why there was such enthusiasm for the project in the mid-1990s and why there was such pessimism after both Brazil and Argentina experienced currency crises.

Most interesting for our analysis is that neither Cardoso nor Lula concluded that Mercosul should be jettisoned after these acute crises. Rather, their response was just the opposite, and presidential diplomacy proved crucial in multiple attempts to "relaunch" the Mercosul integration process (Gómez Mera, 2005; Malamud, 2005).

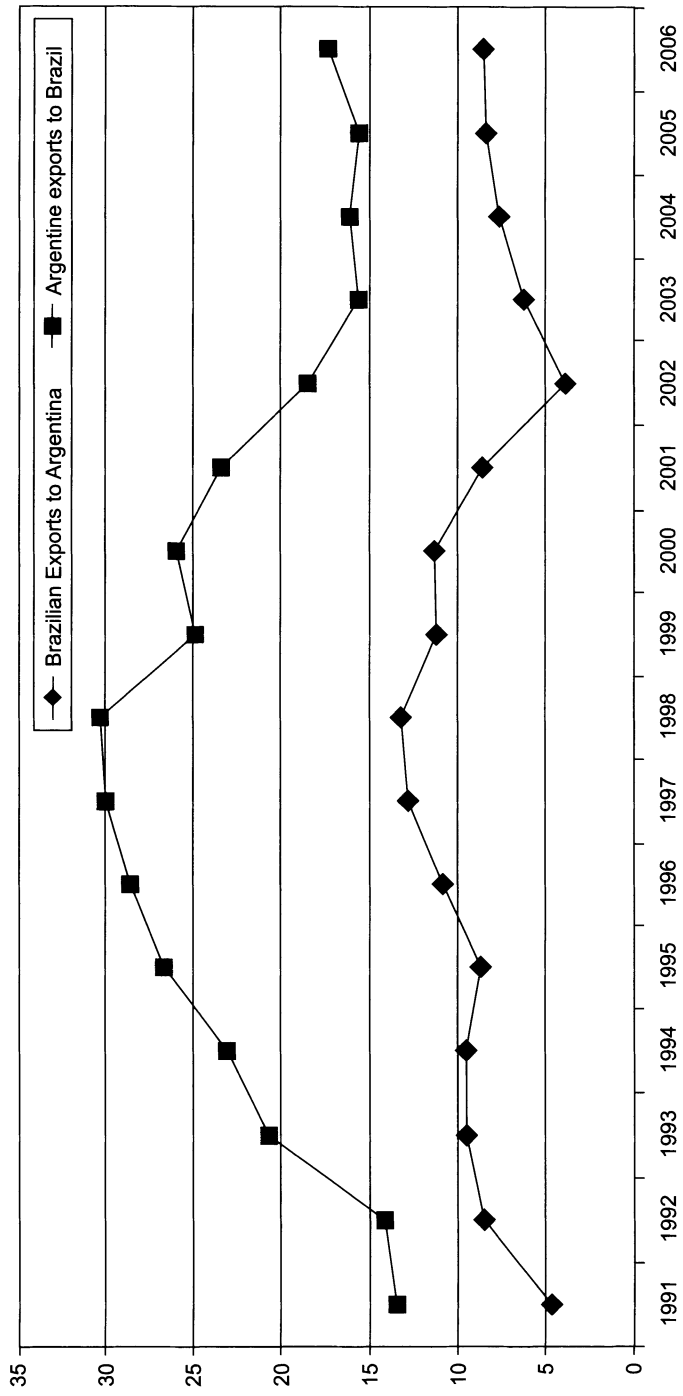


FIGURE 3. *Argentine and Brazilian Exports to Principal Mercosul Partner (expressed as a percentage of each country's total exports)*

Sources: Ministério de Desenvolvimento, Indústria, e Comércio Internacional (Brasil), "Alice Web," URL: <http://aliceweb.desenvolvimento.gov.br/default.asp>, and Instituto Nacional de Estadística y Censos de la República Argentina, URL: <http://www.indec.gov.ar/>.

Thus, when Lula assumed the presidency in January 2003, he made it clear that integration would be a cornerstone of his administration:

The main priority in foreign policy during my government will be the construction of a South America that is politically stable, prosperous, and united, based on democratic ideas and social justice. To accomplish this, it is essential that there be a strong move to revitalize Mercosul, which has been weakened by crises in each member state and by visions of integration that are narrow and selfish.

Above all, Mercosul, as well as South American integration in general, is a political project. But this project rests on an economic and commercial foundation that urgently needs to be restored and strengthened. (Agência Brasil, 2003)

The rhetoric in this speech reflects an ideological preoccupation with the South, and South America in particular. Despite repeated setbacks, regional integration has remained high among Brazil's foreign policy priorities. While it is true that Itamaraty has viewed Mercosul – from a strategic point of view – as a way to assert Brazilian leadership in Latin America, events since the late 1990s provide little evidence of such an effect. Rather, Mercosul has remained on the foreign policy agenda because presidents have kept it there. And they have kept it there not only out of personal and political conviction, but also because the relative success of Mercosul itself has multiplied the number of actors with an interest in the integration process (Hirst, 1996; Portella de Castro, 1996). In Brazil, Mercosul integration was perhaps the first issue in Brazilian foreign policy that a large swath of actors outside the state cared about, and around which these actors – from business, labor, and other civil society organizations – organized and lobbied. Even if it is difficult to draw unambiguous causal connections between this organization and foreign policy outcomes – in part because of political and economic instability in the late 1990s and early 2000s in the region – there is a clear pluralization of actors in this process.

Domestic Politics and Bolivian Gas

The recent Bolivian gas nationalization episode provides another case study demonstrating that change in foreign policy making “matters.” A hallmark of presidential diplomacy under Lula has been the close ties he has forged with left-leaning presidents in Latin America. These include less controversial relationships with Nestor Kirchner (Argentina) and Tabaré Vázquez (Uruguay), as well as more controversial friendships with Hugo Chávez (Venezuela) and Evo Morales (Bolivia). On May 1 2006 Morales went public with his decision to nationalize the natural gas industry in Bolivia. By presidential decree, all foreign-owned gas fields and refineries were placed under the control of the state firm YPFB. Foreign investors were given six months to negotiate new contracts with YPFB and their profits were to be capped at 18 percent (Sousa, 2006). Although previously having presented himself as a *compañero* of Lula, Morales provocatively chose a Petrobrás installation to make his announcement and was shown on television surrounded by Bolivian army troops on a Brazilian-owned gas field.

The gas crisis provoked the most serious challenge to date to presidential diplomacy in Brazil. The Brazilian press portrayed Lula as weak, depicting the Bolivian episode as a foreign policy disaster that could only have come about as

a result of the “personalization” and “ideologization” of South American policy. Lula’s opponents in the 2006 presidential campaign criticized his kid-glove treatment of Morales. Retired Itamaraty diplomats weighed in via the Op-Ed pages of newspapers, suggesting that MRE was taken unawares because it was being progressively sidelined by presidential diplomacy. Sources inside MRE leaked their suspicion that the Bolivian gas crisis was connected to another *compañero*, Hugo Chávez – the hypothesis being that Chávez had “egged on” Morales, hoping that he would later mediate the inevitable Bolivia–Brazil spat. Thus, the episode was framed against a perceived shift in the balance of power in Latin America, with an ambitious Venezuela gradually supplanting Brazil as the emerging leader of the region. Brazil, after many years on the diplomatic offensive, had been placed on the defensive by Bolivia – whose population and GDP represent less than 5% and 2% of Brazil’s, respectively – which was now viewed in some circles as an ill-disguised agent of Caracas. The media reaction and political recriminations showed that, for Brazilian elites, the upstaging was clearly difficult to swallow.

We draw attention to this episode not because of Morales’ decision, which is exogenous to our model and must be explained in a Bolivian (not a Brazilian) context. Rather, we emphasize the gas nationalization because of the domestic Brazilian reaction to it. Infighting over foreign policy – something almost unheard of in Brazilian politics – came out into the open as a result of the Bolivian episode in 2006. The sensation was that personalization of foreign policy had allowed Brazil to be blindsided. The interesting question of whether Morales would have taken this same controversial decision vis-à-vis a different Brazilian president is less important than the subjective interpretation of the episode in Brazil, where presidentialization was quickly assigned the blame for the crisis, leading to a significant amount of political fallout.²¹

Conclusions

This article has argued that two recent trends, presidentialization and pluralization, have led to significant changes in Brazilian foreign policy making. Most notably, these processes have combined to downgrade the historical centrality and autonomy of the Brazilian Foreign Ministry. Of the two trends, we view personal leadership as the more advanced at present, although we suspect that the pluralization trend may “catch up” with presidentialization in the future.

The analysis here leads to a provocative question: is it the case that presidentialization has made Brazilian foreign policy less consistent and “strategic”? We argue that the answer is a qualified yes. Personal relationships between Brazilian presidents and their foreign counterparts have become far more important than in the past. The Sarney–Alfonsín dialogue was crucial in laying the groundwork for regional integration, and the Collor–Menem partnership was fundamental in making Mercosul a reality. The fact that Lula recognized the right of Bolivia to nationalize its natural resources immediately after Morales had acted contrary to Brazil’s economic interests clearly speaks to a personal sympathy and ideological kinship. And, interestingly enough, the strong working relationship that Lula established with George W. Bush led many in the PT government to quietly support Bush’s re-election in 2004, something that would have been unthinkable for the PT a few years before.

In the end, presidentialization has had several palpable effects on Brazilian foreign policy. First of all, it has made foreign policy more subject to the whims of presidents, whereas in the past foreign policy could be conducted consistently and behind closed doors by Itamaraty. Second, presidentialization has meant that foreign policy is much more “in a hurry.” Presidents want to make a splash when it comes to their foreign policy goals, but they are also interested in efficiency and deadlines. The logic of presidentialism is one of electoral calendars and fixed terms in office, meaning that the time horizons of presidents do not always coincide with those of MRE’s professional diplomats, who are trained to think in terms of long-term national interests and strategies. Third, presidentialization – and the personal connections that it implies – have meant that Brazil has experienced a worrisome erosion of its prior commitment to upholding the principle of nonintervention in the politics of neighbouring countries.²² Lula has not himself engaged in overt campaigning for or against presidential candidates in other Latin American countries, but has stood by while others (notably Hugo Chávez) have. Under prior governments, Itamaraty would have vocally upheld a line of strict neutrality in the internal affairs of neighbors.

Finally, when it comes to the other major trend we have identified – the pluralization and differentiation of actors in foreign policy – our conclusions are necessarily more measured. We argue that while there has been notable change in this regard, this process is still new, and presently its causes are clearer than its effects. We do suspect that the participation of new actors in foreign policy making will generate a snowball effect. If more actors participate in policy debates, more will want to participate, especially if those already “at the table” are having a demonstrable effect on policy outputs. It is entirely possible that now that the private sector has a foothold within the state, as in CONEX, there could be a secular erosion of MRE’s role. One might ask: would it be possible now for any president to “re-insulate” MRE and put things back the way they were in the past? We think that such an outcome would be highly unlikely, for two reasons. First, trade negotiations are assuming an ever higher proportion of total foreign policy activity. Because trade negotiations are so complex – and have so many potential winners and losers – there is no way that business (or labor, to the extent it plays a role in these processes) will be passive in the face of such negotiations. The centrality of multilateral negotiations makes Itamaraty’s traditional formation as an old-style, intellectualized “diplomatic corps” less relevant to changing conditions. Second, exporters of all types are growing in domestic political influence in Brazil. In this decade, most of the overall new GDP growth has been generated by this group. They are the geese that are laying the golden eggs for Brazil, and they are likely to insist that Itamaraty take into account their views when it comes to making foreign trade policy. In the end, we argue that both presidentialization and pluralization will be trends that will strengthen in coming years.

Notes

1. “Nossa atitude é pragmática e não há antiamericanismo.” Interview published in *O Estado de São Paulo*, February 11 2007.
2. For some recent exceptions, see Malamud (2005), Farias (2006), and Marques (2008).
3. MRE refers to the Ministério das Relações Exteriores. The ministry takes its nickname from the Palácio do Itamaraty, the building in Rio de Janeiro that formerly served as its home.

4. For a thorough discussion of the development of the foreign policy analysis subfield (until the early 1990s), which focuses on the enduring questions in the subfield, see Gerner (1991).
5. This is conventional wisdom, and almost all scholarly treatments of Brazilian foreign policy cite these well-known properties of Itamaraty. For recent examples in English see Lafer (2000) and Lima and Hirst (2006).
6. In 1990 Fernando Collor de Mello's behavior as president-elect (when, ironically, his transition team was based at MRE) and during his honeymoon period was perhaps a foreshadowing of a greater presidential role, but this never got off the ground; his presidency was aborted by impeachment in 1992. His successor, Itamar Franco, showed little interest in foreign affairs.
7. The vice presidency was vacant from 1985 to 1990, and then again from late 1992 through 1994. The line of succession then extends to the presidents of the Chamber of Deputies, the Senate, and the Supreme Court, in that order. Presidents and vice presidents are occasionally abroad at the same time.
8. In the late 1990s Brazil's most popular satirical television program, *Casseta e Planeta*, featured a Cardoso impersonator whose character was known as *Viajando Henrique Cardoso* (Traveling Henrique Cardoso). In his recent memoirs, Cardoso writes: "Regardless of how much 'presidential diplomacy,' with its consequential and frequent international trips by the President, is criticized by those who do not understand the web of contemporary decision making, it is indispensable" (Cardoso, 2006: 602).
9. Cardoso's initiatives did not imply an abandonment of the South – far from it – but simply represented a new balance of priorities in foreign policy relative to a long-standing 1970s baseline. For a study of Cardoso's continuing efforts to promote Brazilian leadership in South America, see Burges (2006).
10. For a thorough discussion of Brazilian foreign policy and presidential involvement, see Danese (1999). For an excellent treatment of the evolution of Brazil's foreign policy orientation in the 1980s and 1990s, see Albuquerque (1999).
11. A lucid summary of these overall ideological changes can be found in Biersteker (1995).
12. Brazil was considered something of a laggard when it came to economic reforms in Latin America, as it never bought into the neoliberal prescription wholeheartedly. See Edwards (1995) and Hurrell (2005) for contrasting views on this lateness.
13. For more on the ISI policies adopted by Brazil, and the role of leadership, institutions, and ideas, see Sikkink (1991).
14. For a general perspective on global civil society (with some application to Brazil), see Anheier et al. (2004).
15. After the victory of the *Frente Amplio* in 2004, Brazil and the entire Southern Cone was governed by left-of-center presidents for the first time in history. Elsewhere in Latin America, Evo Morales was elected president of Bolivia in 2005, and in 2006 Daniel Ortega won an election in Nicaragua and Rafael Correa in Ecuador.
16. The retirement of the old presidential jet, a rusty 1968 Boeing 707 known to a generation of thrillseekers as the *Sucatão* (big piece of junk), has greatly improved the chances of Lula surviving such trips. The delivery in early 2005 of a customized Airbus A-319 (formally the *Santos Dumont* but known universally as *AeroLula*) has made foreign travel easier and more comfortable.
17. A number of sectors have been affected by unilateral restrictions imposed by the United States, with the steel industry a frequent (and recent) victim of unilateral US moves.
18. It was in the final months of the Cardoso government that Brazil first initiated discussions with the United States about its cotton subsidies, but it was only in February 2003 that Brazil formally asked the WTO to establish a formal dispute-settlement panel. For details and background on the cotton case, see Schnepf (2005).
19. For an argument that the president misunderstands systemic constraints upon Brazil, see Albuquerque (2006).

20. In Collor's case, of course, a corruption scandal cut short his presidential term, but his successor (Itamar Franco) remained committed to the timetable of tariff reductions laid out in the Treaty.
21. A noteworthy postscript was the explosive interview given to the newsweekly *Veja* by Roberto Abdenur, former ambassador to the United States, upon his retirement in February 2007. Abdenur claimed that Lula's senior appointees in MRE were introducing an unacceptable level of "ideology" and "anti-Americanism" into Brazilian foreign policy, making it difficult for the country to pursue its interests effectively. He condemned Brazil's partnership with Venezuela, calling the Chávez regime a "dictatorship."
22. Santiso (2003) provides a good overview of the historic Brazilian commitment to self-determination and sovereignty and how these principles sometimes conflict with regional democracy promotion.

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